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CASE #	CASE NAME	HEARING NAME
CVRI2602474	DIAZ VS HYUNDAI MOTOR AMERICA.	MOTION TO COMPEL ARBITRATION BY HYUNDAI MOTOR AMERICA.

Tentative Ruling:

HMA's request for judicial notice of the Complaint filed in this action is denied as unnecessary. It is unnecessary to take judicial notice of documents already filed in the same action. (Cf. *Davis v. Southern California Edison Company* (2011) 236 Cal.App.4th 619, 632, fn. 11.)

Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) Arbitration of disputes is favored and "when there is doubt as to the meaning and construction of an agreement for mediation and/or arbitration, that doubt should be resolved in favor of those processes." (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1062.) The moving party bears the burden of proving the existence of a valid arbitration agreement, which can be met by attaching a copy of the agreement. (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.) The burden then shifts to the opposing party to prove any defense. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) "In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal 4th 394, 413-414.)

Federal Arbitration Act:

Defendant argues the Federal Arbitration Act ("FAA") applies to the Arbitration Agreement. The FAA (9 U.S.C. §§1 et seq.) generally governs arbitration in written contracts involving interstate commerce and authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract, similar to the California Arbitration Act. (9 U.S.C. §2; *Basura v. U.S. Home Corp.* (2002) 98 Cal.App.4th 1205, 1213.) Additionally, an express provision that an arbitration agreement will be governed by the FAA is enforceable even if interstate commerce is not established. (*Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal. App. 5th 337, 355.) Here, the Arbitration Agreements in the Warranty expressly provides that the FAA applies. (Decl. of Ameripour, Ex. 3, p. 14.)

Warranty Handbook Arbitration Agreement:

Both the FAA and the California Arbitration Act (“CAA”) require the existence of a valid arbitration agreement between the parties before arbitration can be compelled. (See 9 U.S.C. §2 and Code Civ. Proc., §1281.2) HMA produced a copy of a 2023 Hyundai Owner’s Handbook, which contains an arbitration agreement. (See Decl. Of Ameripour, Exh. 3, pp. 13-14.)

There is no evidence that the Warranty Handbook and Arbitration Agreement contained therein were provided to Plaintiff. The Warranty Handbook produced by Defendant’s counsel appears to be a generic Warranty for HMA vehicles and is not signed by Plaintiff. Plaintiff is not identified as the owner or purchaser. While the normal procedures of document authentication are not necessary for the purpose of establishing the existence of an arbitration agreement, facts necessary for a determination of its enforceability are proven by affidavits and declarations. (*Condee v. Longwood Management Corp.* (2001) 88 Cal. App. 4th 215, 218.) There is no evidence that the Warranty Handbook was provided to Plaintiff at the time of purchase. While the Complaint vaguely references “written warranties” (Comp., ¶ 14), it is not clear these warranties are the same as the Warranty containing the Arbitration Agreement. Defendant has not established the existence of an arbitration agreement covering Plaintiff’s claims.

Moreover, there is no evidence of Plaintiff’s assent to the Warranty Arbitration Agreement. “In California, [g]eneral principles of contract law determine whether the parties have entered a binding agreement to arbitrate.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development, LLC* (2012) 55 Cal.4th 223, 236.) “An essential element of any contract is the consent of the parties or mutual assent.” (*Donovan v. RRL Corp.* (2001) 26 Cal.4th 261, 270, Civ. Code §§ 1550, 1565.) “Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understanding.” (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 787-788.)

Defendant contends that assent was established by Plaintiff’s use of the warranty. Mutual assent may be established by conduct as well as words as long as the conduct manifests an intent to form a binding contract. (*Binder v. Aetna Life Ins. Co.* (1999) 75 Cal. App. 4th 832, 850-851.) However, if an offeree is unaware of an inconspicuous contractual provision contained in a document whose contractual nature is not obvious, an apparent manifestation of assent does not bind the offeree. (*Windsor Mills, Inc. v. Collins & Aikman Corp.* (1972) 25 Cal. App. 3d 987, 993.)

Defendant has not established that Plaintiff was aware of, or had reason to be aware of, the Arbitration Agreement contained within the Warranty. As explained below, a warranty is not a contract. Therefore, Plaintiff’s use of the Warranty for repairs does not constitute assent to the Arbitration Agreement contained therein.

Equitable Estoppel

Defendant argues that Plaintiff is estopped from denying the arbitration agreement under the doctrine of equitable estoppel. The doctrine of equitable estoppel applies in two circumstances: (1) when the signatory must depend on the written agreement providing for arbitration in asserting claims against the nonsignatory; or (2) when the party alleges “substantially interdependent and concerted misconduct” by the nonsignatory and a signatory and the alleged misconduct is “founded in or intimately connected with the obligations of the underlying agreement.” (*Goldman v. KPMG LLP* (2009) 173 Cal.App.4th 209, 218-19.) Furthermore, equitable estoppel applies only where there is an integral relationship between the signatory and nonsignatory. (*Jarobe v. Hanlees Auto Group* (2020) 53 Cal. App. 5th 539, 555.) “The fundamental point” is that a party is “not entitled to make use of [a contract containing an arbitration clause] as long as it worked to [his or] her advantage, then attempt to avoid its application in defining the forum in which [his or] her dispute ... should be resolved.” (*Jensen v. U-Haul Co. of California* (2017) 18 Cal. App. 5th 295, 306.)

However, the equitable estoppel doctrine applies to contracts. Plaintiff contends there was no contract, and therefore, equitable estoppel does not apply. Defendant argues the Warranty Handbook constitutes a contract containing an arbitration agreement. Under California warranty law, warranties, unlike contracts, do not impose binding obligations on the buyer. (*Weinstat v. Dentsply Int'l, Inc.* (2010) 180 Cal.App.4th 1213, 1228-1229.) “A warranty relates to the title, character, quality, identity, or condition of the goods. The purpose of the law of warranty is to determine what it is that the seller has in essence agreed to sell.” (*Keith v. Buchanan* (1985) 173 Cal.App.3d 13, 20.) Based on those warranties, the seller is bound to deliver and the buyer to accept goods that match the warranties made. (*Ibid.*) Written warranties are merely a written statement of promises made to the consumer prior to a purchase, which constitute a declaration of the facts presented or promises made to the consumer in connection with the sale of a good. (Com. Code §2313; Civil Code §§ 1791.2, 1790.3; 15 U.S.C. § 2301(6).) While the seller may be held to the promises/warranties it made to a consumer prior to the sale of a vehicle, which are reduced to a written form pursuant to Civ. Code §1791.2, Com. Code §2313 and/or 15 U.S.C. §2301(6), the written warranties do not constitute a contract between the manufacturer and the buyer. Because the Warranty is not a contract that can be enforced against Plaintiff, Plaintiff is not estopped from denying the Arbitration Agreement while asserting claims based on the breach of the Warranty against HMA.

Bluelink Arbitration Agreement

Defendant argues Plaintiff should be compelled to arbitrate under the Bluelink Arbitration Agreement. HMA claims Plaintiff enrolled in the Bluelink Services on September 18, 2020. (Decl. of Rao, ¶ 4.) Defendant asserts Plaintiff agreed to the terms and conditions, including the Bluelink Arbitration Agreement by clicking a “Complete” tab. (*Id* at ¶ 5.)

Defendant again fails to show mutual assent. HMA's Director of Ops & Owner Apps/Web merely describes the process by which customers agree to the Bluelink Agreement upon enrolling their vehicle in Bluelink service. (*Id.*) Exhibit 1 is an "example screen capture" that reflects the content and layout that Plaintiff "would have seen" and Exhibit 2 is the Bluelink Agreement "that was in effect at the time." (*Id.*, Exhibits 1-2.) These documents are generic, and not specific to Plaintiff. HMA does not show Plaintiff checked the box, or otherwise "signed," or ever agreed to the Bluelink Agreement. Rao does not state he has personal knowledge that Plaintiffs enrolled in the Bluelink service at the time of purchase, nor does he attach or refer to any documents upon which he relied in making this assertion. Rao does not state, for example, that all purchasers of Hyundai vehicles must enroll in the Bluelink Agreement or otherwise explain how he knows Plaintiff enrolled in the Bluelink service or assented to the Bluelink Agreement.

Even assuming HMA showed mutual assent, the arbitration provision in the Bluelink Agreement does not cover Plaintiff's claims in this action. The Bluelink Arbitration Agreement provides, in relevant part:

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, your Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law.

(Decl. of Rao, Ex. 2 at § 14(C)(a).)

By its own language, the Bluelink Agreement covers HMA's "provision of Connected Services to [Plaintiff]," (*Id.* at p.1), which within the Bluelink Agreement refers to a connected car system that includes various functions and features, including Automatic Collision Notification and Assistance; SOS Emergency Assistance; Stolen Vehicle Recovery, Vehicle Immobilization and Vehicle Slowdown; Curfew Alerts, Geo-Fence, Driving Information, Speed Alert & Valet Alert; Remote Door Unlock/Lock; Remote Horn & Lights; Remote Start; Recall Advisor; Diagnostic Information/Maintenance Alert; Daylight Savings Time; Location Sharing; and/or Wi-Fi. (*Id.* at § 8.)

However, none of the claims asserted in the Complaint involve the Bluelink Connected Services. Defendant argues the arbitration provision should be broadly construed to cover all disputes related to the "Vehicle" and "warranty." This argument lacks merit. "General contract law principles include that the basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting The words of a contract are to be understood in their ordinary and popular sense Furthermore, the whole of a contract is to be taken together, so as to give effect to every part, if

reasonably practicable, each clause helping to interpret the other.” (*Franco v. Greystone Ridge Condominium* (2019) 39 Cal.App.5th 221, 227 [internal citations and quotations omitted].)

The terms “Vehicle” and “warranty” must be construed in the context of the entire Bluelink Agreement. This agreement clearly governs the terms and conditions of “Connected Services,” not warranties. Moreover, the Bluelink Agreement distinguishes between the “Connected Services” that are contemplated therein and other issues that may be covered by HMA’s warranty. (Decl. of Rao, Ex. 2, § 11 [“YOUR VEHICLE’S LIMITED WARRANTY does not cover the Connected Services...”].) Thus, the arbitration provision in the Bluelink Agreement is construed as covering disputes related to these services only.

Defendant failed to meet its burden showing the existence of a valid and enforceable arbitration agreement under the Warranty Handbook or the Bluelink Agreement.

The motion is denied.